From Crisis to Comeback

Oman's unique location in the Gulf can enable alternative routes for oil, gas and other goods through its Indian Ocean-facing ports, but only if there's political will and significant investment from stakeholders



By **Dr Yousuf Hamed Al Balushi**

Economist; founder, Smart Investment Gateway



COLLATERAL DAMAGE
A Thailand cargo ship struck by Iran off Oman's coast, Mar. 11

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Six weeks into the conflict, the situation in the Gulf has moved from tension to sustained disruption. What was once a narrow diplomatic window, in which Oman was actively engaged in efforts to encourage dialogue and restraint, gave way to a wider crisis marked by significant uncertainty. The announcement of a ceasefire, therefore, is a welcome and important development, offering much-needed space for de-escalation and renewed diplomacy. While it may not by itself resolve the underlying issues, it creates an opportunity to stabilise markets, restore confidence and refocus attention on dialogue, economic resilience and regional cooperation.

There is, quite simply, no winner in such a conflict. In the medium to long term, every stakeholder stands to lose. The acceleration of hostilities, coupled with uncertainty about timelines, makes it difficult to predict whether resolution is days, weeks or months away. Amid this uncertainty, alternative strategies are being explored. Oman's geographic positioning offers one such possibility. Located outside the Strait of Hormuz and facing the Indian Ocean, Oman hosts ports such as Duqm and Salalah that could serve as strategic gateways. The long-term idea is to strengthen connectivity between these ports and regional producers through pipelines, rail links and integrated logistics networks, thereby creating additional channels for trade and energy flows. Crucially, this is not seen as a project Oman or the Gulf Cooperation Council (GCC) can undertake alone. The proposal is that GCC countries, together with major energy-dependent partners, such as India, China, Japan and others, could collaborate to support such infrastructure. Those who depend most on the uninterrupted flow of Gulf energy would have a direct stake in strengthening alternative corridors that reduce risk and improve continuity of supply.

ACHIEVING LONG-TERM STABILITY

In this framework, oil, gas and goods could be routed through Oman's Indian Ocean-facing ports and shipped directly to global markets, complementing existing routes and helping to strengthen supply-chain resilience during periods of uncertainty. However, this is not a simple fix. It requires significant investment, regional coordination and political will. It also demands alignment between producers and consumers—something that is often difficult in practice.

At the heart of the crisis lies a deeper regional question: how can long-term stability be built in a way that protects security, preserves sovereignty and supports economic development? The more pragmatic view acknowledges a simple reality: geography cannot be altered, and durable stability in the Gulf will always require practical coexistence, dialogue and economic cooperation alongside effective security arrangements.